Economics - Undergraduate Level Assessment 16 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. Which of the following would reduce economic growth?
   (a) An increase in immigration from abroad.
   (b) A rise in the level of education.
   (c) A rise in the literacy rate.
   (d) A decrease in unemployment rates.
   (e) A growth in the number of small businesses.

2. Which of the following increases the size of the tax multiplier?
   (a) An increase in the reserve ratio.
   (b) An increase in the money supply.
   (c) A decrease in the marginal propensity to consume.
   (d) A decrease in the spending multiplier.
   (e) An increase in the interest rate.

3. Assume the reserve requirement is 10 percent. If the FED sells $29 million worth of government securities in an open market operation then the money supply can
   (a) decrease by $29 million.
   (b) increase by $2900 million.
   (c) decrease by $2.9 million.
   (d) stay the same.
   (e) increase by $29 million.

4. Tariffs and quotas
   (a) affect domestic prices: the former lowers them while the latter raises them.
   (b) reduce the overall cost of goods for consumers.
   (c) have no impact on the volume of trade between nations.
   (d) result in higher domestic prices.
   (e) ensure the stability of international markets without influencing domestic markets.

5. Consider the following model for y_t: $y_t = \mu + \lambda t + u_t$ Which one of the following most accurately describes the process for y_t?
   (a) A non-stationary process without trend
   (b) A random walk with drift

(c) A stationary process

(d) A mean-reverting process

(e) A stationary process with trend

True / False (10 marks)

Answer True or False

6. True or False: A monopoly operates in an industry with significant barriers to entry and exit.
7. True or False: An externality exists when the equilibrium price is exactly equal to the market price, indicating market efficiency.
8. True or False: In the standard regression model, the dependent variable y is assumed to have a probability distribution.
9. True or False: An unplanned decrease in inventories typically indicates that output will begin to rise to meet consumer demand.
10. True or False: The economies and diseconomies of scale are defined over the business cycle.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the rationale behind government intervention in the economy, focusing on its effects on economic activity and resource redistribution. How do Supply-side Economists justify this intervention?
12. Discuss the components of the demand for money as outlined by Marshall and Fisher, analyzing their implications for economic behavior and policy.

End of Paper